

ASUMBI GIRLS' 2025 PREDICTION



CONFIDENTIAL KCSE EXAM



565/1

BUSINESS STUDIES

PAPER 1

TIME: 2 HOURS

NAME.....

SCHOOL.....

SIGN.....

INDEX NO..... ADM NO.....

(Kenya Certificate of Secondary Education)

Instructions to candidates

- a) Write your name and index number in the spaces provided above.
- b) Sign and write the date of the examination in the spaces provided above.
- c) This paper consists of 25 questions.
- d) Answer all the questions in this paper.
- e) All your answer must be written in the spaces provided in the question paper
- f) Non –programmable silent electronic calculator may be used.
- g) Candidates must answer the questions in English.

FOR EXAMINER'S USE ONLY

Question	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20
Candidate's score																				

21	22	23	24	25	TOTAL MARKS

1. State the level of production that matches the following occupations. (4marks)

Occupation

Level of production

a) Carpentry

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b) Lumbering

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c) Bridge construction

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d) Banking

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2. State four reasons that may make a firm to be located near a source of raw materials.

(4marks)

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3. Outline four channels used to distribute locally manufactured products in Kenya.

(4 marks)

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4. Give four types of small-scale retailers with shops

(4marks)

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5. State four external factors that may influence the operations of a business negatively.

(4marks)

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6. State four circumstances under which the capital of a business may change.

(4marks)

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7. List down factors that a trader may consider when choosing a means of transport.

(4marks)

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8. State four factors that may lead to the success of a business.

(4marks)

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9. Highlight four advantages of promoting sales through the internet.

(4marks)

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10. Indicate the document to be used for each of the following descriptions.

(4marks)

<u>Description</u>	<u>Document</u>
a) Reply to a specific letter of inquiry	_____
b) To update a catalogue	_____
c) To show the content of container	_____
d) To correct an overcharge in the invoice	_____

11. The information below relates to Kimeu's business as at 31st JULY/AUG 2025.

Kshs

Capital	100,000
Additional investment in the year	40,000
Profit realised in the year	25,000
Drawings made in the year	45,000

Determine Kimeu's capital as at 31st JULY/AUG 2025.

(4 marks)

12. Highlight four forms of economic integration. (4marks)

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13. Highlight four reasons for consumer's protection. (4marks)

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14. Outline four factors that would make John and Ann taking the same type of life assurance policy with the same insurer to pay different amount of premiums. (4marks)

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15. The information below was extracted from the books of Wapendwa Traders on 31st JULY/AUG 2023

Details	Amount
Furniture and fittings	234,000
Debtors	67,500
Capital	157,900
Commission earned	13,200
Creditors	34,750
Drawings	21,800
5 years bank loan	114,450

Discount received

3,000

Required; Prepare Wapendwa Traders trial balance as at 31st JULY/AUG 2023.

(5marks)

16. Identify the ledger in which the following accounts are maintained.

(4marks)

Account

Ledger

a) Pendo (Debtor) _____

b) Machinery _____

c) Rent _____

d) Capital _____

17. Indicate the source document that relates to the following books of original entry.**(3 marks)**

Books of original entry

Source document

For Marking Schemes

Contact 0746 222 000 / 0742 999 000

- a) Purchase return journal
- b) Cash book
- c) Sales return journal

18. Identify the type of unemployment described by the statements below. (4marks)

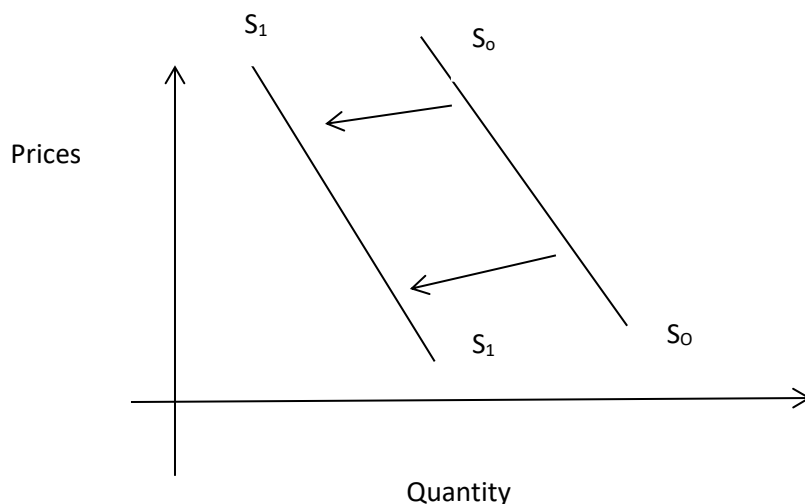
a) Introduction of tea picking machines to replace human labour

b) Ignorance of existing opportunities

c) Decline in economic activities of a given country _____

d) Five employees handling a single task in an organisation. _____

19. The diagram below shows supply of a certain commodity. Give four reasons that may cause such a shift (4 marks)



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20. Outline four tools of monetary policy that a government may use to reduce excess money supply

(4marks)

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21. State whether the following transactions will increase, decrease or have no effect on the balance sheet items. **(4marks)**

Transaction	Assets	Capital	Liabilities
a) Took a loan from K.C.B and used it to pay a K.I.E loan.			
b) Bought furniture and paid by cheque			
c) Took stock of goods and donated to a local church			
d) Sold stock of goods on credit at a profit.			

22. The following information was provided from the Mzalendo Traders books for the period ending 31st JULY/AUG 2023.

Commission received	20,000	
Gross loss		50,000
Rent paid		30,000
Discount received	35,000	
Carriage outward	10,000	
Interest on loans	5,000	

Required: Prepare profit and loss account for the period ending 31st JULY/AUG 2023.

(4 marks)

23. State four assumptions in the circular flow of national income in a two-sector economy.

(4marks)

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24. Highlight four characteristics of underdeveloped countries. (4marks)

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25. Outline four levels of inflation.
(4marks)

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